

Exhibit 5.16 provides updated data from the most recent CES, conducted in 2015. With the updated data, we can observe the trends highlighted by Bernicke. In terms of average annual household expenditures, homes with a reference person aged seventy-five and older spent 23 percent less than households aged sixty-five to seventy-four, and households aged sixty-five to seventy-four spent 15.8 percent less than fifty-five- to sixty-four-year-olds. The exhibit also provides spending broken down into various categories. Comparing those seventy-five and older to the younger retiree age group (sixty-five to seventy-four), we see substantial decreases in spending for food away from home, alcohol, apparel and services, transportation, entertainment, and education. As most have left the workforce, contributions to pension funds and Social Security decreased substantially as well. The only categories that increased were cash contributions, which represents gifts to family, friends, or charity; health care; and reading.

Exhibit 5.16

Spending in the Consumer Expenditure Survey, 2015

	Under 25 years	25–34 years	35–44 years	45–54 years	55–64 years	65–74 years	75 years and older
Average Annual Expenditures	\$32,797	\$52,062	\$65,334	\$69,753	\$58,781	\$49,477	\$38,123
Food at home	\$2,543	\$3,539	\$4,944	\$4,713	\$4,200	\$3,803	\$2,859
Food away from home	\$2,347	\$3,097	\$3,900	\$3,693	\$2,792	\$2,411	\$1,702
Alcoholic beverages	\$250	\$543	\$697	\$547	\$574	\$451	\$244
Housing	\$11,328	\$18,305	\$22,204	\$21,160	\$18,188	\$16,465	\$14,253
Apparel and services	\$1,271	\$1,864	\$2,584	\$2,605	\$1,596	\$1,331	\$698
Transportation	\$6,320	\$9,777	\$10,945	\$11,781	\$10,024	\$8,028	\$5,228
Health care	\$978	\$2,770	\$3,873	\$4,669	\$5,112	\$5,715	\$5,814
Entertainment	\$1,354	\$2,475	\$3,192	\$3,317	\$3,323	\$3,005	\$1,728
Personal care	\$406	\$611	\$818	\$821	\$714	\$608	\$526
Reading	\$38	\$86	\$95	\$106	\$115	\$157	\$199
Education	\$2,572	\$1,123	\$1,178	\$2,659	\$1,162	\$294	\$221
Tobacco and smoking	\$230	\$364	\$383	\$465	\$401	\$259	\$142